FREE FINANCING REPORT

Veterinary Financing Report

Why SBA Programs and Industry Tailwinds Favor This Asset Class in 2026, What Current Pricing and Practice Valuations Look Like, and the Metrics That Drive Approvals

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Why Veterinary Practice Owners Have Real Financing Advantages in 2026

Veterinary real estate and practice financing sit at the intersection of specialized commercial real estate and a licensed medical operating business — and 2026 finds the sector genuinely well-positioned relative to most other small businesses seeking capital. Owners who understand which programs and lenders are actually built for this asset class put themselves in a materially stronger position than those approaching generalist commercial lenders.

- **SBA financing runs meaningfully favorable for this asset class.** Veterinary practices show loan approval rates significantly above the national average for small businesses, with SBA 7(a) real estate terms extending up to 25 years and a program ceiling up to $5 million.
- **The U.S. pet industry keeps growing.** Annual pet industry spending exceeds $150 billion — a structural tailwind that supports practice revenue and lender confidence in the sector.
- **Practice valuations reward strong operating performance.** General small animal practices typically value at 60% to 80% of gross annual revenue (roughly 5-9x EBITDA), while specialty or high-performing clinics command 100% to 150% of revenue (7-12x EBITDA), with goodwill often representing 50% to 70% of the total purchase price.
- **Equipment financing is genuinely accessible.** Digital radiography, dental systems, and in-house lab equipment can be financed with 0% to 10% down over 36- to 84-month terms, letting practices modernize without straining working capital.
- **SBA 504's blended structure keeps real estate financing competitive.** The standard 50/40/10 split with 25-year amortization on the real estate portion, paired with a 10% buyer equity requirement, keeps leverage favorable for owner-operators.

That said, pricing runs meaningfully higher than 504 or agency permanent debt for the practice/business side of the transaction. SBA 7(a) blended rates run roughly 8% to 10% depending on credit and deal size (Prime + 2.25% to 4.75%), and most SBA lenders require a minimum 1.25x DSCR plus at least $100,000 to $250,000+ in annual practice revenue depending on the lender. Credit requirements run 650+ for traditional lenders (660+ for SBA 7(a)), though alternative lenders may accept scores as low as 550-600.

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2026 Market Outlook for Veterinary Financing

Veterinary financing enters the second half of 2026 with genuinely favorable SBA structures and strong underlying industry fundamentals, while underwriting continues to center on the operating practice's performance. The following figures outline where the market stands:

- SBA financing terms for veterinary real estate and practice acquisitions: SBA 7(a) rates run Prime + 2.25% to 4.75% (blended 8% to 10% depending on credit and deal size), with real estate terms up to 25 years and working capital/equipment terms up to 10 years; the program ceiling runs up to $5 million.

  Source: Crestmont Capital, Veterinary Practice Financing: The Complete Guide, 2026

- SBA 504 structure for practice real estate follows the standard 50/40/10 split with 25-year amortization on the real estate portion, and typically requires 10% buyer equity.

  Source: TurboFunding, Veterinary Clinic Financing, 2026

- Practice valuation multiples vary meaningfully by performance tier: general small animal practices typically sell for 60% to 80% of gross annual revenue (roughly 5-9x EBITDA), while specialty or high-performing clinics command 100% to 150% of revenue (7-12x EBITDA), with goodwill often representing 50% to 70% of the total purchase price.

  Source: Crestmont Capital, 2026; TurboFunding, 2026

- Equipment financing remains genuinely accessible: 0% to 10% down is common on 36- to 84-month terms, with APRs running 6% to 18% depending on credit and equipment type — current equipment costs range from $8,000–$20,000 for dental systems up to $35,000–$80,000 for in-house lab bundles.

  Source: TurboFunding, 2026

- The sector benefits from a durable growth backdrop: U.S. pet industry spending exceeds $150 billion annually, and veterinary practices show loan approval rates significantly above the national average for small businesses — well-run practices typically carry 18% to 25% EBITDA margins.

  Source: Crestmont Capital, 2026; TurboFunding, 2026

Bottom line for 2026: Veterinary financing benefits from genuinely favorable SBA structures, strong industry fundamentals ($150 billion+ in annual pet spending), and lenders that view the sector more favorably than most other small businesses. But underwriting still centers on the operating practice — revenue, caseload, DSCR, and owner experience — and both pricing and leverage scale with credit and deal size. Well-prepared owner-operators with clean financials and reasonable revenue get the most favorable structures.

Sources: Crestmont Capital, Veterinary Practice Financing: The Complete Guide for Vet Practice Owners, 2026; TurboFunding, Veterinary Clinic Financing & Practice Loans, 2026.

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Critical Metrics for Veterinary Financing

Lenders underwrite the operating practice as closely as the real estate itself. The following metrics most often determine whether a request moves forward:

1. **Practice Revenue and Historical Cash Flow**

   Trailing revenue and profitability performance, which anchors the entire underwriting analysis. **$100K minimum annual revenue (most lenders); $250K+ at some lenders; 18%–25% typical EBITDA margins**

2. **Debt Service Coverage Ratio**

   The core repayment metric most SBA and traditional lenders apply.

   1.25x minimum (most SBA lenders)

3. **Veterinarian-Owner Experience and Credentials**

   Clinical and management track record, which strongly influences lender confidence.

4. **Equipment Condition and Age**

   Whether the practice's diagnostic and medical equipment is current or will require near-term replacement.

5. **Credit Score**

   The borrower's personal credit profile, which affects both approval odds and available terms. **650+ typical (traditional lenders); 660+ (SBA 7(a)); 550–600 (alternative lenders)**

6. **Rate and Term by Program**

   Pricing and structure available depend heavily on which program finances the deal.

   SBA 7(a) Prime + 2.25%–4.75% (blended 8%–10%), up to 25-year real estate/10-year equipment terms; SBA 504 50/40/10 structure, 25-year real estate amortization

7. **Practice Valuation and Loan Sizing**

   How the practice is valued, which drives both purchase price and financeable loan amount.

   60%–80% of gross revenue (general practices) to 100%–150% (specialty); $200K–$2M typical acquisition range; up to $5M SBA program ceiling

These metrics form the practical filter that separates veterinary financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Practice financial statements and tax returns (typically 2–3 years) are organized
- [ ] Year-to-date revenue and operating performance are current
- [ ] Details on caseload, services offered, and facility condition are documented
- [ ] Equipment list with ages and condition is prepared
- [ ] Veterinarian-owner experience and credentials are presented
- [ ] Lease information (if leasehold) or owner-user occupancy details are documented
- [ ] Location and demographic/competitive information is gathered
- [ ] Existing debt schedule is prepared
- [ ] Entity documents and organizational structure are current
- [ ] Personal financial statements and credit information for owners/guarantors are ready

Common Reasons Veterinary Financing Requests Underperform or Get Declined

- Missing or incomplete practice financial history
- Weak or outdated equipment documentation
- Incomplete veterinarian-owner experience information
- Insufficient DSCR or annual practice revenue relative to the loan requested
- Declining caseload trends or a heavily competitive local market

Final Perspective

Veterinary financing in 2026 remains a genuinely favorable niche within small business and commercial real estate lending — approval rates run above the small business average, SBA structures offer real leverage advantages, and the industry's $150 billion+ spending backdrop supports lender confidence. But because the loan is underwritten around the operating practice as much as the real estate, the deals that close most smoothly are the ones where practice financials, equipment condition, and owner experience are all clean and complete before the application goes in.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing practice financial history, weak equipment documentation, and incomplete owner experience information are among the most common reasons otherwise solid veterinary financing requests lose time, money, and momentum.

YOUR NEXT STEP

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